

Oracle Corporation

Capacity delivery fueling growth acceleration

Reiterate Rating: BUY | PO: 240.00 USD | Price: 152.94 USD

Robust growth driven by IaaS strength

Revenue growth of 29.6% YoY beat Street's 28.2%, driven by 121% IaaS growth vs Street's 115%. Gross margin compressed to 61% (120bps below Street), mostly due to data center capacity additions. Opex discipline offset the GM pressure with OM at 42.1% vs. Street's 40.8%. EPS of \$1.92 beat by 18c and RPO expanded to \$664bn, up \$26bn QoQ, with more than \$30bn of new AI bookings. Management raised FY27 revenue guidance to \$90+bn and EPS of \$8.10. We update our estimates and reiterate Buy and \$240 PO.

OCI expansion is a function of capacity delivery

The key growth driver is the RPO conversion to revenues, related to new additions of datacenter capacity. Total IaaS grew 121% YoY and pure infrastructure revenues were up 151%. Strong growth is driven by capacity delivery with 850MW of active power delivered in 1Q, ~3x higher than the 4Q26 amount and ~70% of the FY26 capacity adds. The pricing environment is strong, with re-contracted capacity priced at ~20% premium. 2Q cloud growth guidance calls for continued improvement, at 68% vs. Street's 63%.

Margin is pressured and Capex is elevated and lumpy

We flag two concerns. IaaS growth pressured GM to 61% vs. 68.7% in 1Q26, and management expects it to stabilize over time with revenue ramping. In addition, Capex at \$28.5bn was substantially higher than 4Q's \$16.5bn and Street's \$19.8bn. Management reiterated its \$92.5bn FY27 capex guidance, expecting moderation in the following quarters and flagging lumpiness tied to construction and purchasing timing. We model peak capex in FY27/28E, and we model \$92.4/\$105.8bn, respectively.

Apps expected to rebound in the remainder of FY27

Cloud applications grew 9.9% YoY, below Street's 10.9% expectations. Fusion grew 14% and Industry grew 12%, while NetSuite grew 6% with slower sales cycle in FY26. Mgmt expects the growth to accelerate as embedded agents drive seat and price uplift across Fusion and NetSuite, also pushing up OCI revenues. We model Cloud Apps growth to improve in the next three quarters to 11.2%, 11.4% and 12.0% YoY, respectively.

Estimates (May) (US\$)	2025A	2026A	2027E	2028E	2029E
EPS	6.03	7.63	8.10	11.04	15.72
GAAP EPS	4.34	5.86	7.34	10.58	15.60
EPS Change (YoY)	8.5%	26.5%	6.2%	36.3%	42.4%
Consensus EPS (Bloomberg)			8.07	10.80	NA
Consensus EPS (Visible Alpha)			8.10	11.04	15.73
DPS	1.65	1.99	2.08	2.07	2.04
Valuation (May)					
P/E	25.4x	20.0x	18.9x	13.9x	9.7x
GAAP P/E	35.2x	26.1x	20.8x	14.5x	9.8x
Dividend Yield	1.1%	1.3%	1.4%	1.4%	1.3%
EV / EBITDA*	21.0x	16.6x	11.9x	8.4x	5.8x
Free Cash Flow Yield*	-0.1%	-5.4%	-7.6%	-8.5%	-0.9%

* For full definitions of *IQmethod*SM measures, see page 8.

11 September 2026

Equity

Key Changes

(US\$)	Previous	Current
2027E Rev (m)	89,043.3	90,362.4
2028E Rev (m)	130,697.7	131,199.4
2029E Rev (m)	181,348.1	182,574.7
2027E EPS	8.05	8.10
2028E EPS	10.80	11.04
2029E EPS	15.49	15.72
2027E DPS	2.02	2.08

Tal Liani

Research Analyst

BofAS

+1 646 855 5107

tal.liani@bofa.com

Kevin Niederpruem

Research Analyst

BofAS

+1 646 855-1540

kevin.niederpruem@bofa.com

Eden Vacnich

Research Analyst

BofAS

+1 646 855 1971

eden.vacnich@bofa.com

Stock Data

Price	152.94 USD
Price Objective	240.00 USD
Date Established	9-Jun-2026
Investment Opinion	C-1-7
52-Week Range	114.50 USD - 331.00 USD
Mrkt Val (mn) / Shares Out (mn)	440,539 USD / 2,880.5
Free Float	59.5%
Average Daily Value (mn)	4155.34 USD
BofA Ticker / Exchange	ORCL / NYS
Bloomberg / Reuters	ORCL US / ORCLN
ROE (2027E)	38.9%
Net Dbt to Eqty (May-2026A)	228.2%

See inside for Glossary

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iQprofileSM Oracle Corporation

iQmethodSM – Bus Performance*

(US\$ Millions)	2025A	2026A	2027E	2028E	2029E
Return on Capital Employed	16.7%	13.7%	11.5%	11.9%	14.0%
Return on Equity	114.4%	69.5%	38.9%	35.0%	36.8%
Operating Margin	43.6%	42.9%	41.0%	37.9%	38.1%
Free Cash Flow	(393)	(23,686)	(33,487)	(37,657)	(3,783)

iQmethodSM – Quality of Earnings*

(US\$ Millions)	2025A	2026A	2027E	2028E	2029E
Cash Realization Ratio	1.2x	1.4x	2.4x	2.0x	1.8x
Asset Replacement Ratio	5.5x	7.3x	6.5x	4.7x	2.6x
Tax Rate	12.1%	12.6%	17.7%	19.0%	19.3%
Net Debt-to-Equity Ratio	390.0%	228.2%	149.8%	160.0%	125.2%
Interest Cover	7.0x	6.3x	5.5x	6.2x	7.7x

Income Statement Data (May)

(US\$ Millions)	2025A	2026A	2027E	2028E	2029E
Sales	57,399	67,358	90,362	131,199	182,575
% Change	8.4%	17.4%	34.2%	45.2%	39.2%
Gross Profit	41,314	45,196	53,002	70,097	92,612
% Change	7.2%	9.4%	17.3%	32.3%	32.1%
EBITDA	28,902	36,548	51,276	72,271	105,014
% Change	10.4%	26.5%	40.3%	40.9%	45.3%
Net Interest & Other Income	(3,520)	(1,050)	(6,441)	(7,390)	(8,450)
Net Income (Adjusted)	17,284	22,235	24,401	33,459	48,311
% Change	10.0%	28.6%	9.7%	37.1%	44.4%

Free Cash Flow Data (May)

(US\$ Millions)	2025A	2026A	2027E	2028E	2029E
Net Income from Cont Operations (GAAP)	12,444	17,087	22,119	32,071	47,963
Depreciation & Amortization	3,867	7,623	14,211	22,499	35,409
Change in Working Capital	0	0	0	0	0
Deferred Taxation Charge	(1,637)	(917)	(73)	0	0
Other Adjustments, Net	6,148	8,184	22,667	13,548	5,937
Capital Expenditure	(21,215)	(55,663)	(92,412)	(105,776)	(93,091)
Free Cash Flow	-393	-23,686	-33,487	-37,657	-3,783
% Change	NM	NM	-41.4%	-12.5%	90.0%
Share / Issue Repurchase	(1,500)	(206)	0	0	0
Cost of Dividends Paid	(4,743)	(5,787)	(6,260)	(6,260)	(6,260)
Change in Debt	(15,841)	(6,942)	(4,202)	0	0

Balance Sheet Data (May)

(US\$ Millions)	2025A	2026A	2027E	2028E	2029E
Cash & Equivalents	10,786	31,289	23,055	10,014	5,848
Trade Receivables	8,558	10,385	15,764	23,556	28,243
Other Current Assets	5,235	4,893	10,723	19,932	23,668
Property, Plant & Equipment	43,522	99,957	179,221	260,539	316,874
Other Non-Current Assets	100,260	115,235	119,784	119,784	119,784
Total Assets	168,361	261,759	348,548	433,826	494,417
Short-Term Debt	7,271	7,199	8,725	11,525	15,225
Other Current Liabilities	25,372	34,565	45,271	60,416	67,982
Long-Term Debt	85,297	122,342	137,712	172,712	182,712
Other Non-Current Liabilities	17,916	27,949	43,876	49,678	44,488
Total Liabilities	147,392	218,703	266,178	324,925	341,001
Total Equity	20,969	43,056	82,370	108,901	153,416
Total Equity & Liabilities	168,361	261,759	348,548	433,826	494,417

* For full definitions of iQmethodSM measures, see page 8.

Company Sector

Software

Company Description

Oracle is a global leader in enterprise software, cloud services, and database technologies, and in recent years the company has increasingly centered its strategy around Oracle Cloud Infrastructure (OCI) as its primary growth engine. Oracle has invested heavily in expanding its global data-center footprint to meet rising demand for AI-optimized and multicloud infrastructure, backing this shift with multibillion-dollar capital expenditures and rapid build-outs of new facilities.

Investment Rationale

We rate Oracle Buy. Our bullish view on Oracle is based on accelerating demand in the company's OCI segment. While visibility remains somewhat limited on profitability/capex ROI, the outlook for OCI revenue suggests a step function in demand. It is clear that Oracle is capturing share in the large and rapidly growing market for AI infrastructure, in our view.

Stock Data

Average Daily Volume 27,169,748

Quarterly Earnings Estimates

	2026	2027
Q1	1.47A	1.92A
Q2	2.26A	1.89E
Q3	1.79A	2.00E
Q4	2.11A	2.28E



1Q27 Financial Highlights

Exhibit 1: Revenue, OM, and EPS were above BofA estimates; GM was below BofA estimates

Actual versus estimated results

Oracle Actual Versus Estimated Results					Actual	Estimated	Delta	QoQ	YoY
	Year Ago								
\$mn, except EPS	1Q26	2Q26	3Q26	4Q26	1Q27	1Q27			
Capital Expenditures	(8,502.0)	(12,033.0)	(18,635.0)	(16,493.0)	(28,499.0)	(20,946.1)	-7552.9	72.8%	235.2%
QoQ	-6.4%	41.5%	54.9%	-11.5%	72.8%	27.0%			
YoY	269.2%	203.1%	217.9%	81.6%	235.2%	146.4%			
Cloud Revenue	7,186.0	7,977.0	8,914.0	9,913.0	11,607.0	11,566.1	41.0	17.1%	61.5%
QoQ	6.7%	11.0%	11.7%	11.2%	17.1%	16.7%			
YoY	27.8%	34.4%	43.5%	47.1%	61.5%	61.0%			
CC YoY	27.0%	33.0%	41.0%	46.0%	61.0%	60.0%			
IaaS Revenue	3,347.0	4,079.0	4,888.0	5,787.0	7,388.0	7,233.8	154.3	27.7%	120.7%
QoQ	11.8%	21.9%	19.8%	18.4%	27.7%	25.0%			
YoY	55.4%	67.6%	84.3%	93.2%	120.7%	116.1%			
CC YoY	54.0%	66.0%	81.0%	92.0%	120.0%	115.0%			
Software Revenue	5,721.0	5,877.0	6,119.0	6,824.0	5,550.0	5,567.8	-17.8	-18.7%	-3.0%
QoQ	-17.9%	2.7%	4.1%	11.5%	-18.7%	-18.4%			
YoY	-0.8%	-3.1%	3.3%	-2.1%	-3.0%	-2.7%			
Hardware Revenue	670.0	776.0	714.0	924.0	774.0	646.8	127.2	-16.2%	15.5%
QoQ	-21.2%	15.8%	-8.0%	29.4%	-16.2%	-30.0%			
YoY	2.3%	6.6%	1.6%	8.7%	15.5%	-3.5%			
Services Revenue	1,349.0	1,428.0	1,443.0	1,523.0	1,414.0	1,325.0	89.0	-7.2%	4.8%
QoQ	0.1%	5.9%	1.1%	5.5%	-7.2%	-13.0%			
YoY	6.8%	7.4%	11.8%	13.0%	4.8%	-1.8%			
Total Revenue	14,926.0	16,058.0	17,190.0	19,184.0	19,345.0	19,105.6	239.4	0.8%	29.6%
QoQ	-6.1%	7.6%	7.0%	11.6%	0.8%	-0.4%			
YoY	12.2%	14.2%	21.7%	20.6%	29.6%	28.0%			
CC YoY	11.0%	13.0%	18.0%	20.0%	30.0%	28.0%			
Total Cost of Goods Sold	4,672.0	5,165.0	5,855.0	6,470.0	7,542.0	6,908.2	633.8	16.6%	61.4%
Gross Profit	10,254.0	10,893.0	11,335.0	12,714.0	11,803.0	12,197.4	-394.4	-7.2%	15.1%
Gross Margin	68.7%	67.8%	65.9%	66.3%	61.0%	63.8%	-2.8%	-526bps	-768bps
S&M	1,886.0	1,964.0	1,840.0	1,883.0	1,640.0	2,071.3	-431.3	-12.9%	-13.0%
R&D	1,844.0	1,893.0	1,822.0	1,908.0	1,734.0	2,098.8	-364.8	-9.1%	-6.0%
G&A	288.0	315.0	295.0	333.0	278.0	376.3	-98.3	-16.5%	-3.5%
Total Operating Expenses	4,018.0	4,172.0	3,957.0	4,124.0	3,652.0	4,546.4	-894.4	-11.4%	-9.1%
Operating Income	6,236.0	6,721.0	7,378.0	8,590.0	8,151.0	7,651.0	500.0	-5.1%	30.7%
QoQ	-11.4%	7.8%	9.8%	16.4%	-5.1%	-10.9%			
YoY	9.3%	10.2%	19.1%	22.1%	30.7%	22.7%			
Operating Margin	41.8%	41.9%	42.9%	44.8%	42.1%	40.0%	2.1%	-264bps	35bps
Interest Income (Expense)	(923.0)	(1,057.0)	(1,180.0)	(1,438.0)	(1,428.0)	(1,525.0)	97.0	-0.7%	54.7%
Other Income	73.0	2,668.0	132.0	675.0	307.0	300.0	7.0	-54.5%	320.5%
Pre-Tax Income	5,386.0	8,332.0	6,330.0	7,827.0	7,030.0	6,426.0	604.0	-10.2%	30.5%
Income Taxes	1,103.0	1,734.0	1,107.0	1,593.0	1,191.0	1,285.2	-94.2	-25.2%	8.0%
Net Income	4,283.0	6,598.0	5,201.0	6,153.0	5,758.0	5,140.8	617.2	-6.4%	34.4%
EPS	\$ 1.47	\$ 2.26	\$ 1.79	\$ 2.11	\$ 1.92	\$ 1.74	\$ 0.18	-9.1%	30.4%
YoY	5.9%	54.0%	21.3%	24.2%	30.4%	18.0%			

Source: BofA Global Research estimates, company reports

BofA GLOBAL RESEARCH



Exhibit 2: We fine-tune our estimates to be more streamlined with guidance

Summary of model changes

	Revenues			Operating Margin			EPS			Capital Expenditures			IaaS Revenues		
	Old	New	Delta	Old	New	Delta	Old	New	Delta	Old	New	Delta	Old	New	Delta
FY27E															
1Q27	\$19,105.6	\$19,345.0	\$239.4	40.0%	42.1%	208 bps	\$1.74	\$1.92	\$0.18	-\$20,946.1	-\$28,499.0	-\$7,552.89	\$7,233.75	\$7,388.0	\$154.25
2Q27E	\$20,885.7	\$21,414.9	\$529.2	39.7%	41.4%	169 bps	\$1.86	\$1.89	\$0.03	-\$22,412.3	-\$19,949.3	\$2,463.04	\$8,535.83	\$9,065.1	\$529.25
3Q27E	\$23,062.4	\$23,447.9	\$385.5	40.1%	40.5%	40 bps	\$2.06	\$2.00	-\$0.05	-\$23,981.2	-\$21,445.5	\$2,535.70	\$10,413.71	\$10,651.5	\$237.76
4Q27E	\$25,989.5	\$26,154.5	\$165.0	40.4%	40.4%	1 bps	\$2.40	\$2.28	-\$0.12	-\$25,180.3	-\$22,517.8	\$2,662.49	\$12,288.17	\$12,249.2	-\$38.99
Total	\$89,043.3		\$1,319.1	40.1%		95 bps	\$8.05		\$0.04	-\$92,519.9		\$108.34	\$38,471.46		\$882.27
FY28E															
1Q28E	\$27,011.2	\$27,211.4	\$200.3	37.1%	37.9%	84 bps	\$2.20	\$2.23	\$0.03	-\$23,417.6	-\$23,756.2	-\$338.61	\$14,500.04	\$14,821.5	\$321.47
2Q28E	\$30,552.1	\$30,679.8	\$127.7	36.6%	37.7%	103 bps	\$2.47	\$2.53	\$0.05	-\$25,970.2	-\$25,300.4	\$669.76	\$17,690.05	\$17,859.9	\$169.87
3Q28E	\$34,201.8	\$34,226.0	\$24.2	36.6%	37.6%	107 bps	\$2.84	\$2.89	\$0.05	-\$26,437.6	-\$26,944.9	-\$507.30	\$21,104.24	\$21,164.0	\$59.77
4Q28E	\$38,932.6	\$39,082.2	\$149.5	36.9%	38.4%	153 bps	\$3.29	\$3.40	\$0.11	-\$29,398.6	-\$29,774.2	-\$375.51	\$24,797.48	\$24,846.5	\$49.07
Total	\$130,697.7		\$501.7	36.8%		115 bps	\$10.80		\$0.24	-\$105,224.1		-\$551.66	\$78,091.81		\$600.18
FY29E															
1Q29E	\$39,122.6	\$39,146.7	\$24.1	36.2%	37.5%	136 bps	\$3.23	\$3.26	\$0.04	-\$24,988.8	-\$22,330.6	\$2,658.23	\$26,285.33	\$26,461.6	\$176.25
2Q29E	\$42,994.2	\$43,330.6	\$336.5	36.3%	38.0%	173 bps	\$3.56	\$3.69	\$0.13	-\$24,239.2	-\$23,670.4	\$568.73	\$29,754.99	\$30,166.2	\$411.20
3Q29E	\$47,093.4	\$47,502.0	\$408.5	37.3%	38.0%	69 bps	\$4.08	\$4.09	\$0.01	-\$23,512.0	-\$23,197.0	\$314.97	\$33,533.87	\$33,997.3	\$463.43
4Q29E	\$52,137.8	\$52,595.4	\$457.6	37.7%	38.7%	100 bps	\$4.62	\$4.67	\$0.06	-\$24,217.4	-\$23,893.0	\$324.41	\$37,457.33	\$37,907.0	\$449.65
Total	\$181,348.1		\$1,226.6	36.9%		117 bps	\$15.49		\$0.23	-\$96,957.4		\$3,866.35	\$127,031.52		\$1,500.53

Source: BofA Global Research estimates, company report

BofA GLOBAL RESEARCH



**Exhibit 3: Summary of key financials**

Income statement

	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E	FY26	FY27E	FY28E	FY29E
Cloud Revenue	7,186.0	7,977.0	8,914.0	9,913.0	11,607.0	13,398.0	15,136.0	16,868.3	19,602.3	22,688.5	26,113.3	30,013.6	33,990.0	57,009.3	98,417.7	150,622.7
Software Revenue	5,721.0	5,877.0	6,119.0	6,824.0	5,550.0	5,771.0	6,114.6	6,890.4	5,546.6	5,737.3	5,916.1	6,591.3	24,541.0	24,326.1	23,791.4	22,936.6
Hardware Revenue	670.0	776.0	714.0	924.0	774.0	789.5	726.3	851.2	672.5	766.6	709.1	900.6	3,084.0	3,141.1	3,048.9	3,008.0
Service Revenue	1,349.0	1,428.0	1,443.0	1,523.0	1,414.0	1,456.4	1,471.0	1,544.5	1,390.1	1,487.4	1,487.4	1,576.6	5,743.0	5,885.9	5,941.5	6,007.3
Total Revenue	14,926.0	16,058.0	17,190.0	19,184.0	19,345.0	21,414.9	23,447.9	26,154.5	27,211.4	30,679.8	34,226.0	39,082.2	67,358.0	90,362.4	131,199.4	182,574.7
YoY Growth (%)	12.2%	14.2%	21.7%	20.6%	29.6%	33.4%	36.4%	36.3%	40.7%	43.3%	46.0%	49.4%	17.4%	34.2%	45.2%	39.2%
Cost of Goods Sold	4,672.0	5,165.0	5,855.0	6,470.0	7,542.0	8,686.2	9,891.3	11,240.6	12,376.0	14,211.5	16,136.2	18,378.8	22,162.0	37,360.1	61,102.4	89,962.8
Gross Profit	10,254.0	10,893.0	11,335.0	12,714.0	11,803.0	12,728.7	13,556.6	14,913.9	14,835.5	16,468.3	18,089.8	20,703.4	45,196.0	53,002.3	70,097.0	92,611.9
Gross Margin	68.7%	67.8%	65.9%	66.3%	61.0%	59.4%	57.8%	57.0%	54.5%	53.7%	52.9%	53.0%	67.1%	58.7%	53.4%	50.7%
S&M	1,886.0	1,964.0	1,840.0	1,883.0	1,640.0	1,738.4	1,825.3	1,953.1	2,031.2	2,173.4	2,303.8	2,511.1	7,573.0	7,156.8	9,019.6	10,167.5
R&D	1,844.0	1,893.0	1,822.0	1,908.0	1,734.0	1,838.0	1,929.9	2,065.0	2,147.6	2,362.4	2,504.1	2,729.5	7,467.0	7,567.0	9,743.7	11,023.6
G&A	288.0	315.0	295.0	333.0	278.0	294.7	309.4	331.1	344.3	378.7	401.5	437.6	1,231.0	1,213.2	1,562.1	1,815.6
Total Operating Expenses	4,018.0	4,172.0	3,957.0	4,124.0	3,652.0	3,871.1	4,064.7	4,349.2	4,523.2	4,914.6	5,209.4	5,678.3	16,271.0	15,937.0	20,325.4	23,006.6
Operating Income	6,236.0	6,721.0	7,378.0	8,590.0	8,151.0	8,857.6	9,492.0	10,564.7	10,312.3	11,553.8	12,880.4	15,025.1	28,925.0	37,065.3	49,771.6	69,605.3
Operating Margin	41.8%	41.9%	42.9%	44.8%	42.1%	41.4%	40.5%	40.4%	37.9%	37.7%	37.6%	38.4%	42.9%	41.0%	37.9%	38.1%
Interest Income (Expense)	(923.0)	(1,057.0)	(1,180.0)	(1,438.0)	(1,428.0)	(1,650.0)	(1,850.0)	(1,850.0)	(1,850.0)	(1,970.0)	(2,050.0)	(2,150.0)	(4,598.0)	(6,778.0)	(8,020.0)	(9,050.0)
Other Income	73.0	2,668.0	132.0	675.0	307.0	10.0	10.0	10.0	90.0	90.0	250.0	200.0	3,548.0	337.0	630.0	600.0
Pre-Tax Income	5,386.0	8,332.0	6,330.0	7,827.0	7,030.0	7,217.6	7,652.0	8,724.7	8,552.3	9,673.8	11,080.4	13,075.1	27,875.0	30,624.3	42,381.6	61,155.3
Income Taxes	1,103.0	1,734.0	1,107.0	1,593.0	1,191.0	1,515.7	1,606.9	1,832.2	1,796.0	2,031.5	2,326.9	2,745.8	5,537.0	6,145.8	8,900.1	12,842.6
Net Income	4,283.0	6,598.0	5,201.0	6,153.0	5,758.0	5,701.9	6,045.0	6,892.5	6,756.3	7,642.3	8,753.5	10,329.4	22,235.0	24,397.5	33,481.4	48,312.7
EPS	\$ 1.47	\$ 2.26	\$ 1.79	\$ 2.11	\$ 1.92	\$ 1.89	\$ 2.00	\$ 2.28	\$ 2.23	\$ 2.53	\$ 2.89	\$ 3.40	\$ 7.63	\$ 8.10	\$ 11.04	\$ 15.72
Diluted Shares Outstanding	2,909	2,922	2,912	2,915	3,000	3,010	3,015	3,025	3,025	3,026	3,032	3,040	2,915	3,013	3,031	3,073
Margin Analysis																
Gross Margin	68.7%	67.8%	65.9%	66.3%	61.0%	59.4%	57.8%	57.0%	54.5%	53.7%	52.9%	53.0%	67.1%	58.7%	53.4%	50.7%
Operating Margin	41.8%	41.9%	42.9%	44.8%	42.1%	41.4%	40.5%	40.4%	37.9%	37.7%	37.6%	38.4%	42.9%	41.0%	37.9%	38.1%
Net Margin	28.7%	41.1%	30.3%	32.1%	29.8%	26.6%	25.8%	26.4%	24.8%	24.9%	25.6%	26.4%	33.0%	27.0%	25.5%	26.5%
Tax Rate	20.5%	20.8%	17.5%	20.4%	16.9%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	19.9%	20.1%	21.0%	21.0%
YoY Growth																
Total Revenues	12.2%	14.2%	21.7%	20.6%	29.6%	33.4%	36.4%	36.3%	40.7%	43.3%	46.0%	49.4%	17.4%	34.2%	45.2%	39.2%
Gross Profit	6.9%	6.9%	11.6%	11.8%	15.1%	16.9%	19.6%	17.3%	25.7%	29.4%	33.4%	38.8%	9.4%	17.3%	32.3%	32.1%
Total Operating Expenses	3.5%	1.8%	-0.1%	-4.9%	-9.1%	-7.2%	2.7%	5.5%	23.9%	27.0%	28.2%	30.6%	0.0%	-2.1%	27.5%	13.2%
Operating Income	9.3%	10.2%	19.1%	22.1%	30.7%	31.8%	28.7%	23.0%	26.5%	30.4%	35.7%	42.2%	15.5%	28.1%	34.3%	39.8%
Net Income	8.0%	56.8%	22.9%	26.1%	34.4%	-13.6%	16.2%	12.0%	17.3%	34.0%	44.8%	49.9%	28.6%	9.7%	37.2%	44.3%
EPS	5.9%	54.0%	21.3%	24.2%	30.4%	-16.1%	12.3%	7.9%	16.4%	33.3%	44.0%	49.1%	26.5%	6.2%	36.4%	42.3%
QoQ Growth																
Total Revenues	-6.1%	7.6%	7.0%	11.6%	0.8%	10.7%	9.5%	11.5%	4.0%	12.7%	11.6%	14.2%				
Gross Profit	-9.8%	6.2%	4.1%	12.2%	-7.2%	7.8%	6.5%	10.0%	-0.5%	11.0%	9.8%	14.4%				
Total Operating Expenses	-7.4%	3.8%	-5.2%	4.2%	-11.4%	6.0%	5.0%	7.0%	4.0%	8.7%	6.0%	9.0%				
Operating Income	-11.4%	7.8%	9.8%	16.4%	-5.1%	8.7%	7.2%	11.3%	-2.4%	12.0%	11.5%	16.7%				
Net Income	-12.3%	54.1%	-21.2%	18.3%	-6.4%	-1.0%	6.0%	14.0%	-2.0%	13.1%	14.5%	18.0%				
EPS	-13.4%	53.4%	-20.9%	18.2%	-9.1%	-1.3%	5.8%	13.6%	-2.0%	13.1%	14.3%	17.7%				

Source: BofA Global Research estimates, company report

BofA GLOBAL RESEARCH

Glossary

- DC = data center
- GM = gross margin
- IaaS = infrastructure as a service
- MW = megawatt
- OCI = Oracle Cloud Infrastructure
- OM = operating margin
- RPO = remaining performance obligations



Price objective basis & risk

Oracle Corporation (ORCL)

Our PO of \$240 is based on 26.5x our CY27E P/E, a premium to large cap software and cloud data center group trading at 19x which we believe is warranted due to accelerating growth/mounting backlog.

Downside risks to our price objective are delays in data center buildouts, downturn in enterprise software spending, currency headwinds, and software terminal value pressure from innovative AI labs.

Analyst Certification

I, Tal Liani, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

US - Networking and Software Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Akamai	AKAM	AKAM US	Tal Liani
	Amdocs	DOX	DOX US	Tal Liani
	Arista Networks	ANET	ANET US	Tal Liani
	Asana	ASAN	ASAN US	Matt Bullock
	Atlassian Corp	TEAM	TEAM US	Koji Ikeda, CFA
	Autodesk	ADSK	ADSK US	Tomer Zilberman
	Bentley Systems	BSY	BSY US	Tomer Zilberman
	Box Inc	BOX	BOX US	Matt Bullock
	Ciena	CIEN	CIEN US	Tal Liani
	Cisco Systems	CSCO	CSCO US	Tal Liani
	Cloudflare	NET	NET US	Tal Liani
	Coreweave	CRWV	CRWV US	Tal Liani
	Datadog Inc	DDOG	DDOG US	Koji Ikeda, CFA
	Dynatrace	DT	DT US	Koji Ikeda, CFA
	Extreme Networks, Inc.	EXTR	EXTR US	Tomer Zilberman
	Figma	FIG	FIG US	Tal Liani
	Fortinet	FTNT	FTNT US	Tal Liani
	Global-e Online Ltd.	GLBE	GLBE US	Matt Bullock
	JFrog Ltd	FROG	FROG US	Koji Ikeda, CFA
	Microsoft Corporation	MSFT	MSFT US	Tal Liani
	MongoDB Inc	MDB	MDB US	Koji Ikeda, CFA
	Motorola Solutions	MSI	MSI US	Tomer Zilberman
	Nebius Group N.V.	NBIS	NBIS US	Tal Liani
	Oracle Corporation	ORCL	ORCL US	Tal Liani
	Palo Alto Networks	PANW	PANW US	Tal Liani
	Samsara	IOT	IOT US	Matt Bullock
	SentinelOne, Inc.	S	S US	Tal Liani
	ServiceNow	NOW	NOW US	Tal Liani
	Shopify, Inc.	SHOP	SHOP US	Tal Liani
	Snowflake	SNOW	SNOW US	Koji Ikeda, CFA
	Twilio	TWLO	TWLO US	Koji Ikeda, CFA
	Zeta Global	ZETA	ZETA US	Matt Bullock
	Zoom Communications	ZM	ZM US	Matt Bullock
	Zscaler	ZS	ZS US	Tal Liani
NEUTRAL				
	Amplitude, Inc.	AMPL	AMPL US	Koji Ikeda, CFA
	Check Point Software Technologies	CHKP	CHKP US	Tal Liani
	CrowdStrike Holdings Inc.	CRWD	CRWD US	Tal Liani
	Elastic NV	ESTC	ESTC US	Koji Ikeda, CFA
	GitLab Inc.	GTLB	GTLB US	Koji Ikeda, CFA
	Intuit	INTU	INTU US	Tal Liani



US - Networking and Software Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Monday.com	MNDY	MNDY US	Matt Bullock
	Okta Inc	OKTA	OKTA US	Tal Liani
	SailPoint	SAIL	SAIL US	Tal Liani
	Workday Inc.	WDAY	WDAY US	Tal Liani
UNDERPERFORM				
	Adobe	ADBE	ADBE US	Tal Liani
	BlackLine, Inc.	BL	BL US	Tomer Zilberman
	C3.ai	AI	AI US	Koji Ikeda, CFA
	Coveo	YCVO	CVO CN	Koji Ikeda, CFA
	Docusign Inc	DOCU	DOCU US	Matt Bullock
	Dropbox	DBX	DBX US	Matt Bullock
	F5 Inc	FFIV	FFIV US	Tal Liani
	Fastly	FSLY	FSLY US	Tal Liani
	HubSpot, Inc.	HUBS	HUBS US	Matt Bullock
	Lightspeed Commerce Inc.	LSPD	LSPD US	Matt Bullock
	Lightspeed Commerce Inc.	YLSPD	LSPD CN	Matt Bullock
	PagerDuty	PD	PD US	Koji Ikeda, CFA
	Salesforce Inc	CRM	CRM US	Tal Liani
	UiPath	PATH	PATH US	Koji Ikeda, CFA
	ZoomInfo	GTM	GTM US	Matt Bullock

iQmethodSM Measures Definitions**Business Performance**

Return On Capital Employed

Return On Equity

Operating Margin

Earnings Growth

Free Cash Flow

Numerator

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Net Income

Operating Profit

Expected 5 Year CAGR From Latest Actual

Cash Flow From Operations – Total Capex

Denominator

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill

Amortization

Shareholders' Equity

Sales

N/A

N/A

Quality of Earnings

Cash Realization Ratio

Asset Replacement Ratio

Tax Rate

Net Debt-To-Equity Ratio

Interest Cover

Numerator

Cash Flow From Operations

Capex

Tax Charge

Net Debt = Total Debt – Cash & Equivalents

EBIT

Denominator

Net Income

Depreciation

Pre-Tax Income

Total Equity

Interest Expense

Valuation Toolkit

Price / Earnings Ratio

Price / Book Value

Dividend Yield

Free Cash Flow Yield

Enterprise Value / Sales

Numerator

Current Share Price

Current Share Price

Annualised Declared Cash Dividend

Cash Flow From Operations – Total Capex

EV = Current Share Price × Current Shares + Minority Equity + Net Debt +

Other LT Liabilities

Enterprise Value

Denominator

Diluted Earnings Per Share (Basis As Specified)

Shareholders' Equity / Current Basic Shares

Current Share Price

Market Cap = Current Share Price × Current Basic Shares

Sales

EV / EBITDA

Basic EBIT + Depreciation + Amortization

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Important Disclosures

Oracle (ORCL) Price Chart



The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Equity Investment Rating Distribution: Technology Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	243	60.60%	Buy	123	50.62%
Hold	87	21.70%	Hold	45	51.72%
Sell	71	17.71%	Sell	21	29.58%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R2} Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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